APPENDIX 2: THE WORLD BANK FACT SHEET

World Bank (The International Bank for Reconstruction and Development)

WHEN: In 1944, as the Second World War was coming to a close.

WHAT: The explicit goal of the World Bank is to reduce poverty by promoting sustainable economic growth in the world's poorest countries.

WHY: The World Bank was established to help finance the reconstruction of war-torn Europe and the development of the poorer countries of the world.

WHO: The World Bank is owned by more than 184 member countries (including Canada), who share voting rights within the organization. The US, for example, controls 17 percent of the votes, while the 48 nations of sub-Saharan Africa have 5 percent. The U.S. is the largest single contributor to the bank and, together with the four other largest stockholders, Germany, Japan, UK and France, appoints its own representative on the Bank executive board. The smaller stockholders form 'constituencies' to elect the other 19 representatives.

HOW: The World Bank operates through three affiliates:

- The International Bank for Reconstruction & Development (IBRD), the original World Bank, which loans money at market interest rates mainly to middle-income nations.
- The second affiliate, the International Finance Corporation (IFC) makes loans and equity investments to privately owned firms. It is run as a semi-autonomous agency, with its own managing vice president and a separate staff.
- The International Development Association (IDA), makes concessional (no-interest) loans to the poorest countries --those with per capita annual incomes of $805 or less -- with payback periods of up to 40 years. The IBRD and IDA operate as a single agency with two "checkbooks", sharing a common management, staff, and facilities. They accounted for 92 percent of the World Bank's total loans in 1993.

WEBSITE: www.worldbank.org/

OK, BUT: Critics long have said the World Bank (along with the IMF) add to indebtedness by insisting that borrowing countries implement economic and legislative changes that augment, rather than ameliorate, poverty. Many scholars and activists contend that the Bank's aggressive dealings with developing nations, which were often ruled by dictatorial regimes, exacerbated the developing world's growing debt crisis and devastated local ecologies and indigenous communities.

REFERENCES:

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